

department to begin buying. The sudden buying demand forces price to climb even though the trading department spreads its orders over several days.

The trading department tries to keep its buying quiet, but word gets out that you are in the market. The momentum players jump on your coattails and ride the stock upward by buying, too. This sends the stock higher than you expected, so your trading department stops buying for the moment.

Value investors and swing traders, sensing an overbought situation, are willing to sell their shares at the higher price. Soon the stock is moving down again. But before it can reach its old low, the buy-the-dip crowd jumps in and halts the decline. Your trading department, seeing a higher low form, jumps back in and buys while the price is still reasonable. Some new traders join the hype and decide the stock is worthy of a trade and add to the buying pressure.

The company itself gets into the act and buys shares authorized by the board of directors as a share-buyback program announced long ago. The buyback program is nearing the expiration date, and the company feels it is the right time to buy to complete their promise to shareholders.

The stock makes a new high. When it climbs high enough, selling pressure overwhelms buying demand and sends the shares lower, but the price will not drop far—not with everyone trying to buy at a good price. What you have then are much higher highs from the unbridled buying enthusiasm and higher, but saner, lows as your fund and the company itself tries to buy near a fixed low price. You never quite succeed and pay higher and higher prices as the minor lows move up.

Soon, however, the stock is too pricey even for your tastes, so the trading department stops buying. Momentum players keep pushing the stock higher for a time, but selling pressure eventually takes over and the stock heads down.

Everyone has an ear to the ground listening, trying to figure out what all the excitement is about. In the distance, a rumble sounds. The same-store-sales numbers are going to be lower this quarter, the shorts say. The rumor finds sympathetic ears. The rumble heard earlier is the stampede of the smart money running for the exits. Price drops quickly. It may hover for a bit